

Iran War: Operational Reality vs Hegseth's Push

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Executive Summary

The Iran war that began in June 2025 has already confounded the assumptions of those who pushed for it. Operation Midnight Hammer destroyed nuclear facilities; Israeli strikes killed Supreme Leader Khamenei and senior IRGC commanders. And yet - Iran did not collapse. Its armed forces adapted with startling speed, applying lessons from Ukraine's drone warfare to systematically deplete US and Israeli interceptor stockpiles, forcing a ceasefire in April 2026 and a preliminary deal framework in June 2026 [FA[2026-07-01]; FT[2026-06-17]]. Defense Secretary Hegseth's push for boots on the ground - against the advice of the Joint Chiefs - would open a third phase of the war that the operational record suggests the US military cannot win at acceptable cost. Iran is not a country that can be occupied. It is a country that has been preparing for exactly this scenario for forty-five years.

Part I: The Actual War Timeline (June 2025 - September 2026)

June 2025 - Operation Midnight Hammer

The US military dropped bunker-buster bombs on Iran's nuclear facilities in a strike designated "Operation Midnight Hammer" [FA[2026-05-01]]. Simultaneously, Israel launched a comprehensive strike campaign targeting nuclear sites, top military brass, and command infrastructure.

"Nuclear sites hit. Top brass killed. Netanyahu pledges more raids. Trump presses regime for deal." [FT[2025-06-14]]

Oil rose to \$79/barrel on the initial strike day. Markets retreated [FT[2025-06-20]].

Summer-Autumn 2025 - Regime Decapitation, Resistance Persists

Khamenei, Shamkhani, and other senior figures were killed in Israeli strikes. But FA's assessment is unambiguous: "the resilience they had helped build was not diminished" [FA[2026-07-01]]. Iran had pre-delegated response authority downward. The loss of the Supreme Leader did not produce surrender - it produced decentralised, pre-authorised retaliation.

This is Iran's deterrence architecture in action. Built originally to deter Iraq after the 1980 invasion [FA[2009-07-01]], then redirected toward the United States, Iran's strategy explicitly assumes that leadership decapitation will occur and plans around it - devolving authority to field commanders before the first strike lands.

February 2026 - US-Israeli Ground Campaign Begins

The US-Israeli assault expanded in February 2026 [FA[2026-07-01]]. Iran's military applied the lessons of the June 2025 war:

"They responded to the U.S.-Israeli assault that began in February 2026 with systematic salvos of missiles and drones designed to deplete U.S. and Israeli interceptor stockpiles across the region." [FA[2026-07-01]]

Tehran had studied Ukraine: "Tehran also learned from how Russia has used drones in the war in Ukraine, especially drones' ability to hit civilian centers and energy infrastructure, drain interceptor stockpiles, and test radar coverage to set up more destructive strikes." [FA[2026-07-01]]

March 2026 - Oil Shock, Stagflation

Iranian counter-strikes hit energy infrastructure. Oil prices jumped to nearly \$120/barrel, with Rystad analysts warning prices could exceed \$128/barrel if the Strait of Hormuz situation worsened [FT[2026-03-10]; FT[2026-03-18]]. Stagflation forces were described as "building" across the global economy [FT[2026-03-10]].

April 2026 - Two-Week Ceasefire

A ceasefire was reached - a two-week temporary halt. Markets rallied briefly [FT[2026-04-22]].

June 2026 - Geneva MOU

US and Iran met in Geneva. Global oil consumption before the war had been running at approximately 105 million barrels per day [FT[2026-06-17]]. The peace dividend was real but fragile: markets rallied sharply on the ceasefire signal. Hegseth's push for expanded ground operations was the primary source of internal US government tension.

Part II: Why a Ground Invasion of Iran Fails

Hegseth's instinct - reportedly pushing for boots on the ground against Joint Chiefs advice - collides with military geography, historical precedent, and the current operational record.

Terrain

Iran's interior is defined by the Zagros and Alborz mountain ranges. The Zagros alone stretches 1,500 km, creating natural defensive corridors that require combined-arms capability at altitude. The same mountains that protected Iran from Iraq's mechanised invasion in the 1980s would protect it from US ground forces - and the US Army's mountain warfare capability has atrophied since Afghanistan.

Depth

Iran has a land area of 1.648 million km² and 90 million people. Iraq 2003 - a country one-quarter the size with a broken military - took three weeks to reach Baghdad and fifteen years of occupation. Iran has a functioning state, distributed IRGC command, and a population with recent experience of external attack.

Drone Saturation

The current war has already demonstrated that drone swarms can make mass-force concentration impossible [FA[2026-07-01]]. Any US troop deployment would operate under persistent drone surveillance and attack, as Ukrainian and Russian forces have discovered. The US military "has not yet grappled" with this operational reality at the doctrinal level [FA[2026-07-01]].

Interceptor Depletion

Iran's February-March 2026 strategy specifically targeted interceptor stockpiles [FA[2026-07-01]]. A ground operation would require air cover that depends on those same interceptors. If Iran has successfully degraded US and Israeli interceptor reserves, close air support becomes significantly riskier.

The Hegseth Factor

Hegseth's approach has already generated internal US government fractures. Key senators declined to express full confidence in him when asked directly [FT[2025-12-04]]. The pattern - civilian political leadership pushing for escalation that the uniformed military assesses as operationally unsound - is historically the prerequisite for military disasters, not victories.

Part III: Iran's Deterrence Architecture (Strategic Context)

Iran's deterrence strategy has been built over forty-five years, explicitly designed to impose unbearable costs on any

power that attempts ground occupation:

- Proxy network: Hezbollah, Houthis, Iraqi Shia militias - all pre-positioned and pre-authorised
- Asymmetric denial: mining of Hormuz, drone swarm saturation, anti-ship missile targeting of carrier groups
- Population mobilisation: Basij volunteer forces; historical willingness to absorb mass casualties in defence
- Pre-delegation: authority to escalate devolved downward; beheading the command doesn't stop the machine

As FA's 2009 assessment noted, Iran's strategy is "the result both of Iran's perception of its vulnerabilities and of the constraints that the international community has imposed on the country" [FA[2009-07-01]]. Every sanction, every decade of isolation, has made Iran more self-sufficient and more prepared for exactly the war that has now come.

Part IV: Three Scenarios from September 2026

Scenario A - Geneva Deal Holds (Probability: 40%)

The June 2026 MOU framework becomes a formal agreement. Hegseth's push for ground operations is overruled by the Joint Chiefs and the pragmatist faction in the NSC. Oil stabilises below \$90. Markets interpret this as the primary equity tailwind of H2 2026.

Scenario B - Frozen Conflict (Probability: 35%)

The ceasefire holds tactically but no comprehensive deal is reached. Sporadic strikes and counter-strikes continue at low intensity. Oil stays elevated (\$90-110). Hegseth maintains rhetorical pressure for ground operations but lacks the internal political support to execute.

Scenario C - Phase 3 Escalation (Probability: 25%)

Hegseth prevails. A ground element is deployed - Special Operations initially, then conventional forces. Iran activates its proxy network simultaneously across Lebanon, Iraq, Yemen, and Syria. The US finds itself in a five-front asymmetric conflict. Oil returns to \$120+. Global recession probability rises sharply. This is the scenario the Joint Chiefs are fighting to prevent.

Strategic Assessment

The Iran war is already over in its first phase - regime decapitation failed to produce surrender, and the costs (oil shock, interceptor depletion, global recession risk) forced a ceasefire. The question for September 2026 is whether the Geneva framework can be formalised before domestic US political pressure - specifically Hegseth's push - drives re-escalation into Phase 3. The operational record gives no reason for optimism about Phase 3's outcome. Iran was built to survive exactly this.

Citation Index

- [FT[2025-06-14]]: "Israeli strike on Iran ignites new Mideast war" - nuclear sites hit, top brass killed
- [FT[2025-06-20]]: Oil to \$79/barrel on initial strike; markets retreat
- [FT[2025-12-04]]: Hegseth; key senator declines to express full confidence
- [FA[2009-07-01]]: Iran deterrence architecture - asymmetric, missile, proxy; built vs Iraq then redirected to US
- [FA[2026-05-01]]: Operation Midnight Hammer; Khamenei killed; Iran's resilience not diminished
- [FA[2026-07-01]]: Feb 2026 US-Israeli assault; Iran's drone-swarm interceptor depletion strategy; Ukraine lessons applied; pre-delegated authority
- [FT[2026-03-10]]: Oil nearly \$120; stagflation forces building
- [FT[2026-03-18]]: Oil could exceed \$128; Rystad analysis; Strait of Hormuz risk

- [FT[2026-04-22]]: Two-week Middle East ceasefire; markets react
- [FT[2026-06-17]]: US-Iran Geneva MOU; peace dividend; oil falling; 105mn bbl/day pre-war consumption

